

SENATE No. 580**The Commonwealth of Massachusetts**

PRESENTED BY:

Peter J. Durant*To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:*

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to crumbling concrete foundations.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	
<i>Peter J. Durant</i>	<i>Worcester and Hampshire</i>	
<i>Ryan C. Fattman</i>	<i>Worcester and Hampden</i>	
<i>Kimberly N. Ferguson</i>	<i>1st Worcester</i>	
<i>Brian M. Ashe</i>	<i>2nd Hampden</i>	
<i>Michael O. Moore</i>	<i>Second Worcester</i>	
<i>Edward J. Kennedy</i>	<i>First Middlesex</i>	
<i>Hannah Kane</i>	<i>11th Worcester</i>	<i>1/16/2025</i>
<i>Paul K. Frost</i>	<i>7th Worcester</i>	<i>1/22/2025</i>
<i>Rodney M. Elliott</i>	<i>16th Middlesex</i>	<i>1/23/2025</i>
<i>Joanne M. Comerford</i>	<i>Hampshire, Franklin and Worcester</i>	<i>1/23/2025</i>
<i>John J. Marsi</i>	<i>6th Worcester</i>	<i>1/23/2025</i>
<i>Bruce E. Tarr</i>	<i>First Essex and Middlesex</i>	<i>1/24/2025</i>
<i>Angelo J. Puppolo, Jr.</i>	<i>12th Hampden</i>	<i>1/24/2025</i>
<i>Joseph D. McKenna</i>	<i>18th Worcester</i>	<i>1/24/2025</i>
<i>David K. Muradian, Jr.</i>	<i>9th Worcester</i>	<i>1/24/2025</i>
<i>Todd M. Smola</i>	<i>1st Hampden</i>	<i>1/24/2025</i>
<i>Jacob R. Oliveira</i>	<i>Hampden, Hampshire and Worcester</i>	<i>1/27/2025</i>
<i>John J. Cronin</i>	<i>Worcester and Middlesex</i>	<i>1/27/2025</i>

<i>Adam Gómez</i>	<i>Hampden</i>	<i>1/27/2025</i>
<i>Colleen M. Garry</i>	<i>36th Middlesex</i>	<i>1/31/2025</i>
<i>Sal N. DiDomenico</i>	<i>Middlesex and Suffolk</i>	<i>1/31/2025</i>
<i>Donald R. Berthiaume, Jr.</i>	<i>5th Worcester</i>	<i>2/3/2025</i>
<i>Marc T. Lombardo</i>	<i>22nd Middlesex</i>	<i>2/6/2025</i>
<i>Alyson M. Sullivan-Almeida</i>	<i>7th Plymouth</i>	<i>2/6/2025</i>
<i>John C. Velis</i>	<i>Hampden and Hampshire</i>	<i>2/12/2025</i>
<i>Patricia D. Jehlen</i>	<i>Second Middlesex</i>	<i>2/19/2025</i>
<i>Robyn K. Kennedy</i>	<i>First Worcester</i>	<i>3/4/2025</i>
<i>Nicholas A. Boldyga</i>	<i>3rd Hampden</i>	<i>3/7/2025</i>
<i>Kelly W. Pease</i>	<i>4th Hampden</i>	<i>3/19/2025</i>
<i>Patrick M. O'Connor</i>	<i>First Plymouth and Norfolk</i>	<i>4/17/2025</i>
<i>Kelly A. Dooner</i>	<i>Third Bristol and Plymouth</i>	<i>4/23/2025</i>

SENATE No. 580

By Mr. Durant, a petition (accompanied by bill, Senate, No. 580) of Peter J. Durant, Ryan C. Fattman, Kimberly N. Ferguson, Brian M. Ashe and other members of the General Court for legislation relative to crumbling concrete foundations. Environment and Natural Resources.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE SENATE, NO. 3015 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to crumbling concrete foundations.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 29 of the General Laws is hereby amended by inserting after
2 section 2EEEEEE the following section:-

3 Section 2FFFFF. (a) There shall be a Crumbling Concrete Assistance Fund, which shall
4 be administered by the secretary of housing and livable communities. The fund shall be
5 expended, without further appropriation to: (i) provide financial assistance to owners of
6 residential real property for the repair or replacement of concrete foundations of such residential
7 real property that have deteriorated due to the presence of pyrite or pyrrhotite; (ii) minimize
8 negative fiscal impacts on municipalities in which such property is located; and (iii) reimburse
9 the owner of a residential real property that presents satisfactory evidence, as determined by the
10 secretary, that said owner has paid for and replaced their concrete foundation that deteriorated

11 due to the presence of pyrite or pyrrhotite prior to the establishment of the fund; provided,
12 however, that the reimbursement shall not exceed the funding the owner would have received
13 had they applied for financial assistance through the fund. The secretary shall seek to maximize
14 available federal reimbursements for money spent from the fund.

15 The fund shall be credited with: (i) appropriations or other money authorized by the
16 general court and specifically designated to be credited to the fund; (ii) funds from public and
17 private sources, including, but not limited to, gifts, grants, donations and settlements received by
18 the commonwealth that are specifically designated to be credited to the fund; (iii) federal funds
19 received under subsection (b); and (iv) interest earned on the assets of the fund. Any balance in
20 the fund at the close of a fiscal year shall be available for expenditure in subsequent fiscal years
21 and shall not be transferred to any other fund or revert to the General Fund.

22 (b) The secretary of housing and livable communities may apply for, receive and deposit
23 any federal funds, including, but not limited to, funds made available by the United States
24 Department of Housing and Urban Development Section 108 Loan Guarantee program, into the
25 fund.

26 (c) Amounts issued from the fund to impacted homeowners for the repair or replacement
27 of concrete foundations that have deteriorated due to the presence of pyrrhotite shall be exempt
28 from taxation under chapter 62.

29 (d) Annually, not later than June 1, the secretary of housing and livable communities
30 shall report on the activities of the fund from the previous calendar year to the clerks of the
31 senate and house of representatives, the senate and house committees on ways and means, the
32 joint committee on environment and natural resources and the joint committee on housing.

(e) The secretary of housing and livable communities shall promulgate regulations or issue other guidance to set rules for the expenditure of the funds under this section.

SECTION 2. The secretary of housing and livable communities shall convene a stakeholder working group to make recommendations for regulatory and legislative change necessary to comprehensively address the remediation of residential property foundations that have deteriorated due to the presence of pyrite or pyrrhotite. The working group shall convene not later than 30 days after the effective date of this act, and shall include: the secretary of housing and livable communities or a designee, who shall serve as chair; the secretary of transportation or a designee; the undersecretary of consumer affairs and business regulation or a designee; the commissioner of insurance or a designee; the commissioner of banks or a designee; 2 members appointed by the attorney general who shall have experience in advocating for homeowners and consumers; the chairs and ranking minority members of the joint committee on environment and natural resources; 2 representatives of Massachusetts Residents Against Crumbling Foundations; a representative of the Massachusetts Concrete & Aggregate Producers Association, Inc.; a representative of the Massachusetts Municipal Association Inc.; a representative of the Massachusetts Insurance Federation Inc.; and a representative of the Massachusetts Mortgage Bankers Association, Inc.

The working group shall examine: (i) which executive office, department, agency or bureau within an executive office, if any, is best equipped to administer a program to assist residential property owners impacted by the presence of pyrite or pyrrhotite, including administering the Crumbling Concrete Assistance Fund established under section 2FFFFF of chapter 29 of the General Laws, or which executive office or department is best equipped to oversee a new agency or bureau; (ii) relevant models to assist impacted homeowners, including,

but not limited to, a captive insurance company, a supplemental loan program, an interstate agreement with a captive insurance company with expertise in assessing residential property foundation claims, property tax abatement and waiving local and state permit fees; (iii) models to fund said Crumbling Concrete Assistance Fund, including, but not limited to: (a) insurance surcharges on certain homeowners insurance policies, not to exceed \$12 annually, and when and on which policies the surcharge would apply and (b) other sources of state and federal funding opportunities; and (iv) methods to improve consumer protection through means such as disclosures, appointment of a homeowner advocate within a department, agency or bureau to assist impacted homeowners, or consumer education.

The working group shall submit its report and any recommendations to the clerks of the senate and house of representatives, the joint committee on environment and natural resources, the joint committee on housing and the senate and house committees on ways and means not later than February 1, 2026.